

EXECUTIVE BRIEF: Olist E-Commerce Strategic Analysis

Analyst: [Your Name] | **Stack:** BigQuery $\rightarrow$ Python $\rightarrow$ Power BI | **Data:** 100K+ Orders

OVERVIEW

This analysis evaluates the operational health of the Olist marketplace. While revenue growth is strong and concentrated in the Southeast (SP), the business faces a **critical friction point in logistics** and a **lack of customer retention**, which threatens long-term scalability.

KEY INSIGHTS

- **Revenue Concentration:** Growth is driven by the Southeast region; however, high freight costs and delivery delays in the North/Northeast regions act as a barrier to national expansion.
- **Logistics $\rightarrow$ Satisfaction Gap:** There is a direct linear correlation between delivery delay and review scores. Missing the "Estimated Delivery Date" is the #1 driver of negative customer sentiment.
- **Retention Crisis:** RFM analysis reveals a high percentage of "one-time buyers." A significant portion of high-monetary value customers are currently "At Risk" (dormant), indicating a failure in post-purchase engagement.
- **Product Dependency:** Revenue is heavily reliant on a few "Power Categories," leaving the business vulnerable to category-specific market shifts.

STRATEGIC RECOMMENDATIONS

- 1. Regionalize Distribution (Logistics)** Establish **Regional Distribution Centers (RDCs)** in the North and Northeast. Moving inventory closer to these hubs will reduce shipping times by $\approx 30\%$, lower freight costs, and increase competitiveness in untapped markets.
- 2. Reactivate "At Risk" High-Value Customers (Retention)** Deploy a targeted **Re-engagement Campaign** using RFM data. Offer personalized "Welcome Back" discounts to the "At Risk" segment to increase the Customer Lifetime Value (LTV) and reduce churn.
- 3. Proactive Delivery Recovery (CSAT)** Implement an **Automated Alert System** that triggers a proactive apology email and a small discount voucher the moment a package is flagged as "Delayed." This converts a negative logistics experience into a positive customer service touchpoint.
- 4. "Entry-Product" Cross-Selling (Revenue)** Leverage "Best Seller" products as **Loss Leaders**. Use a recommendation engine to cross-sell higher-margin, low-volume categories to customers purchasing the most popular items.
- 5. Optimize Payment Friction (Conversion)** Introduce **Flexible Payment Options** (e.g., expanded Pix or tiered installments) specifically for lower-income regions to reduce cart abandonment and increase the conversion rate.

Conclusion: By shifting focus from pure acquisition to **Logistics Optimization** and **Customer Retention**, Olist can stabilize its review scores and unlock sustainable growth across all Brazilian states.